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Bizlink | Asia Pacific

# Read-across from Credo's FY1Q27 Results

We see positive implications for Bizlink from Credo's comments on expanding AEC and emerging ALC opportunities.

## FY1Q27 (ended July 2026) results:

- Credo (CRDO.US, not covered) reported revenue of US\$479mn (+10% QoQ/+115% YoY), roughly in line with the consensus of US\$474mn and guidance of US\$465-475mn.
- Non-GAAP GM was 68% (-0.3ppt QoQ) in line with consensus at 68% and guidance at 67-69%.
- Non-GAAP NP was US\$236mn (+4% QoQ/+140% YoY), roughly in line with consensus at US\$232mn.
- Four customers each contributed more than 10% of Credo's revenue in FY1Q27, i.e., 33%, 28%, 13% and 10%, respectively.

## FY2Q27 and FY27 outlook:

- FY2Q27 revenue is guided to be US\$525-535mn (+11% QoQ/+98% YoY at the midpoint, largely in line with consensus of US\$526mn), non-GAAP GM of 67-69% (vs. consensus at 67.5%) and opex of US\$100-105mn.
- For FY27, Credo now expects total revenue to grow >85% YoY (vs. consensus at ~86% YoY), with an inflection in 2H mainly from optical revenue (>US\$600mn for FY27 from Zero-Flap Optics, silicon photonics PICs and optical DSPs, with each to contribute >US\$100mn).
- Credo expects its FY27 GM to stay flat YoY, while operating expenses might increase by ~55% YoY.
- 1.6T AEC might start to emerge from 2HFY27.
- ALCs and OmniConnect gearboxes remain on track for initial revenue from FY28, management believes both are multi-billion dollar opportunities for Credo.
- It also sees increasing customer activity on NPO for scale up network, with confirmed PIC design wins for ramp in FY28.

## Bizlink Read-across:

- We see positive implications from Credo's comments on the AEC's spec upgrade and its penetration into more hyperscalers and neoclouds, as well as the reiterated timing of ALC ramp in FY28.
- We stay constructive on Bizlink for its multiple drivers in the AI deployment theme, including data/power interconnects and semi cap equipment.

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## Bizlink (3665.TW, 3665 TT)

### Greater China Technology Hardware | Taiwan

| Stock Rating                    | Overweight          |
|---------------------------------|---------------------|
| Industry View                   | In-Line             |
| Price target                    | NT\$3,665.00        |
| Up/downside to price target (%) | 58                  |
| Shr price, close (Sep 1, 2026)  | NT\$2,315.00        |
| 52-Week Range                   | NT\$3,010.00-946.00 |
| Sh out, dil, curr (mn)          | 193                 |
| Mkt cap, curr (mn)              | NT\$447,642         |
| EV, curr (mn)                   | NT\$453,219         |
| Avg daily trading value (mn)    | NT\$6,299           |

| Fiscal Year Ending           | 12/25  | 12/26e  | 12/27e  | 12/28e  |
|------------------------------|--------|---------|---------|---------|
| EPS (NT\$)**                 | 46.57  | 69.77   | 120.77  | 143.77  |
| Prior EPS (NT\$)**           | -      | -       | -       | -       |
| EPS (NT\$)§                  | 47.71  | 68.21   | 115.41  | 151.04  |
| Revenue, net (NT\$ mn)       | 71,247 | 101,953 | 151,516 | 174,996 |
| EBITDA (NT\$ mn)             | 15,154 | 21,153  | 34,384  | 41,510  |
| ModelWare net inc (NT \$ mn) | 9,005  | 13,491  | 23,353  | 27,800  |
| P/E                          | 32.6   | 33.2    | 19.2    | 16.1    |
| P/BV                         | 6.4    | 8.0     | 6.0     | 4.7     |
| RNOA (%)                     | 24.2   | 26.2    | 39.8    | 41.7    |
| ROE (%)                      | 24.9   | 28.9    | 40.8    | 36.5    |
| EV/EBITDA                    | 20.1   | 21.2    | 12.8    | 10.2    |
| Div yld (%)                  | 0.8    | 0.6     | 1.0     | 1.7     |
| FCF yld ratio (%)**          | (0.8)  | 1.6     | 3.2     | 5.4     |
| Leverage (EOP) (%)           | (0.9)  | (8.3)   | (19.1)  | (32.5)  |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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## AlphaSignals Catalyst Event Reaction

| Company / Catalyst     | Date        | Impact to thesis | Catalyst versus expectation |
|------------------------|-------------|------------------|-----------------------------|
| <b>Bizlink</b> 3665.TW |             |                  |                             |
| Credo FY1Q27 results   | 02 Sep 2026 | Unchanged        | In-line                     |

Source: Company data, Morgan Stanley Research

## Valuation Methodology and Risks

### **Bizlink (3665.TW)**

Base case, derived from 30x 2027e P/E. We think our target P/E multiple is justified by an earnings CAGR of 46% seen over 2025-28e, which implies a PEG of around 0.7. This is in line with the average of 0.7 in 2019-24, when the stock was trading at an average 13x P/E for a 19% earnings CAGR.

### **Risks to Upside**

- Faster and wider AEC adoption
- Data center and semi equipment capex increases that drive stronger HPC and semi-cap business
- Stronger recovery for automotive business

### **Risks to Downside**

- Lower-than-expected AEC adoption
- Intensifying competition
- Softer-than-expected AI capex
- Slower-than-expected growth in the semi capital equipment market
- Continued weakness in the auto industry

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|--------------------------|-------------------|------------|----------------------------------|----------------|-------------------------|------------------------------------------------------|--------------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating<br>Category | Count                                                | % of Total Other<br>MISC |
| Overweight/Buy           | 1555              | 42%        | 450                              | 48%            | 29%                     | 767                                                  | 44%                      |
| Equal-weight/Hold        | 1577              | 43%        | 395                              | 42%            | 25%                     | 770                                                  | 44%                      |
| Not-Rated/Hold           | 3                 | 0%         | 1                                | 0%             | 33%                     | 1                                                    | 0%                       |
| Underweight/Sell         | 559               | 15%        | 93                               | 10%            | 17%                     | 216                                                  | 12%                      |
| Total                    | 3,694             |            | 939                              |                |                         | 1754                                                 |                          |

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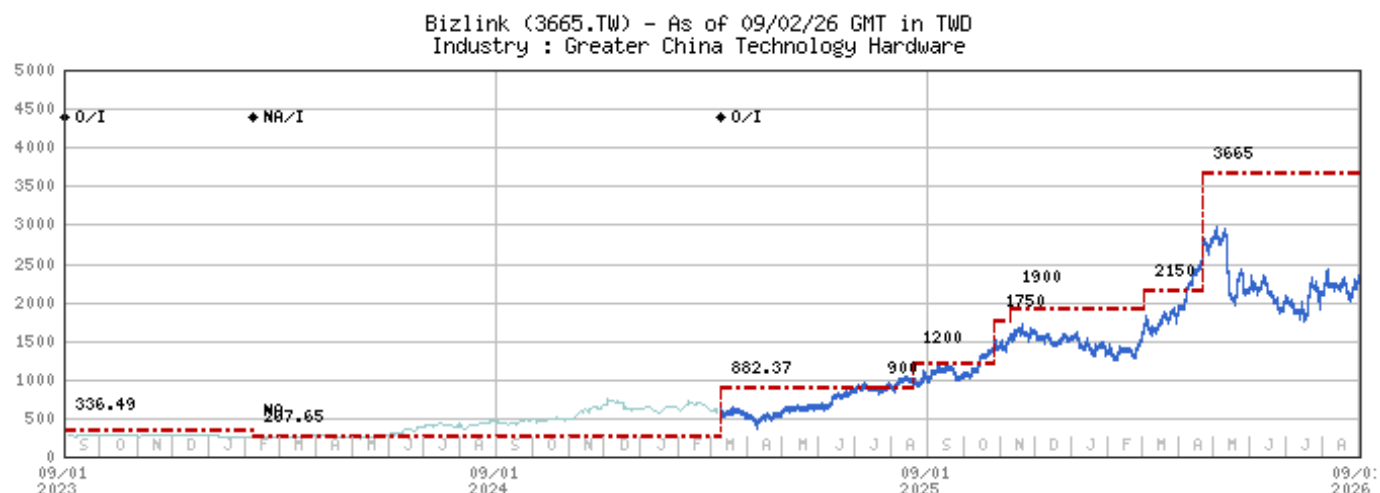
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## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (09/01/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Andy Meng, CFA</b>                                |                |                     |
| AAC Technologies Holdings (2018.HK)                  | O (01/29/2024) | HK\$44.04           |
| Accelink Technologies Co. Ltd. (002281.SZ)           | U (05/12/2022) | Rmb180.72           |
| BYD Electronics (0285.HK)                            | O (04/28/2023) | HK\$26.82           |
| China TransInfo Technology Co Ltd (002373.SZ)        | E (07/18/2023) | Rmb8.06             |
| Dahua Technology Co. Ltd. (002236.SZ)                | E (12/12/2024) | Rmb16.59            |
| Eoptolink Technology Inc Ltd (300502.SZ)             | O (02/27/2026) | Rmb402.81           |
| Genius Electronic Optical Co. Ltd. (3406.TW)         | E (04/23/2025) | NT\$1,005.00        |
| GoerTek Inc (002241.SZ)                              | E (08/14/2026) | Rmb23.93            |
| Gosuncn Technology Group Co Ltd (300098.SZ)          | U (11/07/2022) | Rmb4.68             |
| HIKVision Digital Technology (002415.SZ)             | E (12/12/2024) | Rmb35.92            |
| Largan Precision (3008.TW)                           | O (07/10/2026) | NT\$7,580.00        |
| LianChuang Electronic Technology Co Ltd (002036.SZ)  | U (06/12/2024) | Rmb7.29             |
| Lingyi Itech Guangdong Co (002600.SZ)                | U (04/23/2025) | Rmb12.52            |
| Lingyi Itech Guangdong Co (1688.HK)                  | O (08/14/2026) | HK\$6.35            |
| Luxshare Precision Industry Co., Ltd. (2475.HK)      | O (08/14/2026) | HK\$63.50           |
| Luxshare Precision Industry Co., Ltd. (002475.SZ)    | O (10/24/2016) | Rmb56.92            |
| OFILM Group Co Ltd (002456.SZ)                       | U (06/12/2024) | Rmb7.99             |
| Q Technology (Group) Company Ltd (1478.HK)           | U (03/23/2026) | HK\$5.89            |
| Quectel Wireless Solutions Co Ltd (603236.SS)        | E (10/09/2024) | Rmb62.59            |
| Shanghai Conant Optical Co Ltd (2276.HK)             | O (04/10/2026) | HK\$42.64           |
| Shenzhen Transsion Holdings Co Ltd (688036.SS)       | E (03/23/2026) | Rmb58.19            |
| Sunny Optical (2382.HK)                              | E (03/23/2026) | HK\$71.90           |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb251.77           |
| Wingtech Technology Co Ltd (600745.SS)               | U (05/18/2026) | Rmb18.53            |
| Xiaomi Corp (1810.HK)                                | O (04/14/2021) | HK\$27.56           |
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)  | U (10/13/2021) | Rmb400.03           |

|                                                   |                |               |
|---------------------------------------------------|----------------|---------------|
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK) | O (07/15/2026) | HK\$164.10    |
| Yongxin Optics Co Ltd (603297.SS)                 | E (11/15/2022) | Rmb113.72     |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ)        | O (11/15/2022) | Rmb26.00      |
| Zhongji Innolight Co Ltd (300308.SZ)              | ++             | Rmb859.30     |
| ZTE Corporation (0763.HK)                         | O (06/04/2026) | HK\$24.00     |
| ZTE Corporation (000063.SZ)                       | E (06/04/2026) | Rmb34.28      |
| <b>Derrick Yang</b>                               |                |               |
| Accton Technology Corporation (2345.TW)           | O (06/06/2024) | NT\$2,205.00  |
| Advantech (2395.TW)                               | O (01/20/2021) | NT\$711.00    |
| AirTAC International (1590.TW)                    | O (04/16/2025) | NT\$1,445.00  |
| Asia Vital Components Co. Ltd. (3017.TW)          | O (07/30/2024) | NT\$3,410.00  |
| AU Optronics (2409.TW)                            | E (02/10/2026) | NT\$26.40     |
| Auras Technology Co Ltd (3324.TWO)                | E (05/04/2023) | NT\$1,375.00  |
| Bizlink (3665.TW)                                 | O (03/10/2025) | NT\$2,315.00  |
| BOE Technology (000725.SZ)                        | O (09/06/2019) | Rmb5.91       |
| Chenbro (8210.TW)                                 | O (07/23/2025) | NT\$990.00    |
| Chroma Ate Inc. (2360.TW)                         | O (10/05/2021) | NT\$2,030.00  |
| Delta Electronics Inc. (2308.TW)                  | O (07/13/2017) | NT\$1,865.00  |
| E Ink Holdings Inc. (8069.TWO)                    | E (08/10/2026) | NT\$158.00    |
| Ennostar Inc (3714.TW)                            | U (09/23/2022) | NT\$62.50     |
| Fositek Corp (6805.TW)                            | O (06/25/2025) | NT\$2,285.00  |
| Hiwin Technologies Corp. (2049.TW)                | O (03/30/2026) | NT\$359.00    |
| Innolux (3481.TW)                                 | E (04/07/2025) | NT\$49.30     |
| King Slide Works Co. Ltd. (2059.TW)               | O (11/08/2023) | NT\$14,150.00 |
| Lens Technology (300433.SZ)                       | E (07/22/2020) | Rmb37.30      |
| Lite-On Technology (2301.TW)                      | E (01/15/2025) | NT\$300.50    |
| TCL Corp. (000100.SZ)                             | E (04/07/2025) | Rmb5.00       |
| Tianma Microelectronics (000050.SZ)               | U (01/24/2018) | Rmb6.76       |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ)  | E (11/26/2021) | Rmb200.45     |
| <b>Howard Kao</b>                                 |                |               |
| Acer Inc. (2353.TW)                               | U (04/23/2025) | NT\$31.75     |
| Asustek Computer Inc. (2357.TW)                   | U (11/16/2025) | NT\$1,010.00  |
| Catcher Technology (2474.TW)                      | U (11/17/2025) | NT\$213.50    |
| Compal Electronics (2324.TW)                      | U (04/23/2025) | NT\$39.90     |
| FIT Hon Teng Ltd (6088.HK)                        | O (11/03/2025) | HK\$5.25      |
| Foxconn Industrial Internet Co. Ltd. (601138.SS)  | O (07/10/2019) | Rmb62.94      |
| Giga-Byte Technology Co. Ltd. (2376.TW)           | E (11/16/2025) | NT\$359.00    |
| Gold Circuit Electronics Ltd. (2368.TW)           | O (10/06/2022) | NT\$1,225.00  |
| Hon Hai Precision (2317.TW)                       | O (03/15/2024) | NT\$256.00    |
| Inspur Electronic Information (000977.SZ)         | E (08/28/2023) | Rmb85.60      |
| LandMark Optoelectronics Corporation (3081.TWO)   | E (03/26/2026) | NT\$3,425.00  |
| Lenovo (0992.HK)                                  | O (07/10/2026) | HK\$30.58     |
| Lotes Co. Ltd. (3533.TW)                          | E (05/12/2025) | NT\$1,745.00  |
| Nan Ya PCB (8046.TW)                              | O (02/23/2026) | NT\$1,225.00  |
| Pegatron Corporation (4938.TW)                    | E (03/25/2026) | NT\$91.00     |
| Quanta Computer Inc. (2382.TW)                    | O (05/01/2023) | NT\$342.00    |
| Shengyi Technology Co Ltd. (600183.SS)            | E (05/26/2022) | Rmb144.42     |
| Shennan Circuits Co Ltd (002916.SZ)               | E (08/24/2023) | Rmb354.34     |
| Unimicron (3037.TW)                               | O (02/23/2026) | NT\$971.00    |
| Visual Photonics Epitaxy Co Ltd (2455.TW)         | E (09/11/2023) | NT\$524.00    |
| Wistron Corporation (3231.TW)                     | O (07/12/2023) | NT\$182.00    |
| Wiwynn Corp (6669.TW)                             | O (11/10/2025) | NT\$7,800.00  |
| Yageo Corp. (2327.TW)                             | O (10/28/2025) | NT\$568.00    |
| Zhen Ding (4958.TW)                               | ++             | NT\$535.00    |

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